In this lesson, you will develop a detailed plan around your personality that defines your financial goals and what it will take to achieve them.

Define Your Reason

Defining your reasons for trading and the time you're willing to commit is an important step in creating your trading plan. Ask yourself why you want to become a trader and then write down what you want to achieve from trading.

Analyzing Pairs

We have learned that the main factors that affect exchange rates are interest rates, economic data, geopolitics and volatility. Taking these factors into consideration when choosing a pair will help you develop a solid understanding of the market you are trading, essentially providing you insight into which market is undervalued or overvalued.

There are three sets of currency pairs.

1. Major Pairs
2. Minor Pairs
3. Cross Pairs

The major currency pairs provide the most liquidity therefore, they are the best pairs to trade while liquidity will often dry up for most minor and cross pairs. So, consider how wide each of these pairs move during trading sessions. The best pairs to trade are as follows:

- AUD/USD - Commodity pair | Natural Resources | Less volatile
- NZD/USD - Commodity pair | Natural Resources | Less volatile
- EUR/USD - Liquid Pair | Interest Rate Differential
- GBP/USD - Liquid Pair | Interest Rate Differential
- USD/JPY - Safe Haven
- USD/CHF - Safe Haven
- USD/CAD - Commodity pair | Natural Resources | Less volatile
- GBP/JPY - Liquid Pair

The details of your trading plan will be affected by the market you want to trade. Beforehand, evaluate your expertise when it comes to its economy, and learn as much as you can about the pair you want to trade. Then, consider which is the best session to trade, the volatility of the market, and

how much you stand to lose or gain per pip of movement in the price. If you're not content with these factors, you may want to choose a different market.

Pairs	Prime Days	Most Active Days	Prime Times	Most Active Times
AUD/USD	Mon - Thurs	Wed - Thurs	9pm - 9am	5am - 1pm
EUR/USD	Mon - Fri	Wed - Fri	1am - 1pm	5am
GBP/USD	Mon - Fri	Thurs	1am - 1pm	5am
GBP/JPY	Mon - Thurs	Wed - Thurs	1am - 1pm 5pm - 9pm	1am
USD/CHF	Mon - Fri	Thurs - Fri	1am - 1pm	5am - 1pm
USD/JPY	Mon - Fri	Wed - Thurs	1am - 1pm	5am - 1pm

Your Trading Style

Take some time to reflect about your day to day lifestyle when you are selecting a trading style. Can you trade while you're at work, or do you have to manage your trades early in the mornings or late at night? It is critical that this trading style suits your personality and that you remain consistent with this style. Even though there are several types of trading styles, you can merge styles together that best fit your needs.

1. **Position (Buy & Hold) Traders**
2. **Swing Traders**
3. **Intraday Traders**
4. **Scalp Traders**

All trading styles REQUIRE technical analysis to find the best window of opportunity to enter and exit your positions. So, it's very important you spend enough time preparing yourself for trading, which includes education, back-testing and analyzing the markets.

Trading Time Frame				
	Scalping	**Intraday Trading**	**Swing Trading**	**Buy & Hold**
Chart Time Frame	**M1 to M15**	**M15 to 1HR**	**1HR to D1**	**D1 to W1**
Holding Period	**Seconds to minutes**	**Less than a day**	**Days to weeks**	**Weeks to months**

Your RoR

It is evident that your rate of return will depend on the currency you trade and how well you can manage your trading capital. In order to evaluate your rate of return you need a trading track record in order to define your profit/loss ratio and gauge your risk-to-reward ratio. Before you start trading, determine how much risk you're prepared to take on – both for individual trades and your trading strategy as a whole. Deciding your risk limit is very important. However, we can algebraically elaborate on your capital goal with the equation from the **Capital** lesson to realize you trading profit expectations.

$$\textbf{Capital Goal} = \text{Startup Capital} + (\text{Expected Return} \times \text{Total Number of Trades})$$

Lets say you want to turn $5,000 into $100,000 in a year.

If you were to only make one trade per day
Capital Goal = Startup Capital + (Expected Return × Total Number of Trades)
$100,000 = $5,000 + (**Expected Return** x 252)
$95,000 = **Expected Return** x 252 Divide $95,000 by 252
$377 = **Expected Return**
Given there is 252 Trading days in 2021 you would need to make at least $377 every trade on every trading day.

If you were to net $100 per trade
Capital Goal = Startup Capital + (Expected Return × Total Number of Trades)
$100,000 = $5,000 + ($100 × **Total Number of Trades**)
$95,000 = $100 × **Total Number of Trades** Divide $95,000 by $100
950 = **Total Number of Trades**
Given there is 252 Trading days in a year you would need to take 3-4 trades per day making $100 or more or make $300-$400 in one trade per day but that would result in you overleveraging your account with a startup fund of $5k.

It's possible to lose more times than you win and still be consistently profitable. It all boils down to risk vs reward. Personally, I like to use a risk-reward ratio of 1:3 or higher, which means the possible profit made on a trade will be at least double the potential loss. To work out the risk-reward ratio, compare the amount you're risking to the potential gain. For example, if you're risking $50 on a trade and the potential gain is $200, the risk-reward ratio is 1:4. **Remember, to ALWAYS manage your trade with a stop loss.**

Your Technical Edge

Patience is your best friend. No technical tool/indicator is correct 100% of the time. That is why back-testing is the best way to; gauge the profitability of your trading system, determine which currency pair is best for you to trade and your trading timeframe.

What Is A Good Setup?

- A break through cloud structure
- A bounce on/in cloud structure
- A confirming Japanese candlestick pattern to confirm break/bounce
- A Fibonacci retracement followed by price action confirmation
- Buy trades only if price is above the cloud, and Sell trades only if price is below the cloud
- Double Bottoms/Tops at previous highs and lows
- When the Price crosses the cloud
- When the Lagging Span crosses the cloud
- Trading during session overlap or with an increase of volume

The Ichimoku provides 80% accuracy in a trending market with the signals it generates.

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10 Laws of Technical Analysis

1.Chart The Trends

Study long-term charts. Begin a chart analysis with monthly and weekly charts spanning several years. A larger scale map of the market provides more visibility and a better long-term perspective on a market. Once the long-term has been established, then consult daily and intraday charts. A short-term market view alone can often be deceptive. Even if you only trade the very short term, you will do better if you're trading in the same direction as the intermediate and longer term trends.

2.The Trend Is Your Friend

Use The Ichimoku Cloud to determine the trend and follow it. Market trends come in many sizes – long-term, intermediate-term and short-term. First, determine which one you're going to trade and use the appropriate chart. Make sure you trade in the direction of that trend. Buy dips if the trend is up. Sell rallies if the trend is down. If you're trading the intermediate trend, use daily and weekly charts. If you're day trading, use daily and intraday charts. But in each case, let the longer range chart determine the trend, and then use the shorter term chart for timing.

3.Find The Highs And Lows

Find support and resistance levels. The best place to buy a market is near support levels. That support is usually a previous reaction low. The best place to sell a market is near resistance levels. Resistance is usually a previous peak. After a resistance peak has been broken, it will usually provide

support on subsequent pullbacks. In other words, the old “high” becomes the new low. In the same way, when a support level has been broken, it will usually produce selling on subsequent rallies – the old “low” can become the new “high.”

4.Fibonacci

Measure percentage retracements. Market corrections up or down usually retrace a significant portion of the previous trend. You can measure the corrections in an existing trend in simple percentages. A fifty percent retracement of a prior trend is most common. A minimum retracement is usually one-third of the prior trend. The maximum retracement is usually two-thirds. Fibonacci Retracements of 38% and 62% are also worth watching. During a pullback in an uptrend, therefore, initial buy points are in the 33-38% retracement area.

5.Trend Lines

Draw trend lines. Trend lines are one of the simplest and most effective charting tools. All you need is a straight edge and two points on the chart. Up trend lines are drawn along two successive lows. Down trend lines are drawn along two successive peaks. Prices will often pull back to trend lines before resuming their trend. The breaking of trend lines usually signals a change in trend. A valid trend line should be touched at least three times. The longer a trend line has been in effect, and the more times it has been tested, the more important it becomes.

6.EMA's

Moving averages provide objective buy and sell signals. They tell you if the existing trend is still in motion and they help confirm trend changes. Moving averages do not tell you in advance, however, that a trend change is imminent. A combination chart of two moving averages is the most popular way of finding trading signals. Some popular futures combinations are 4- and 9-day moving averages, 9- and 18-day, 5- and 20-day. Signals are given when the shorter average line crosses the longer. Price crossings above and below a 40-day moving average also provide good trading signals. Since moving average chart lines are trend-following indicators, they work best in a trending market.

7.Divergences

Oscillators help identify overbought and oversold markets. While moving averages offer confirmation of a market trend change, oscillators often help warn us in advance that a market has rallied or fallen too far and will soon turn. Two of the most popular are the Relative Strength Index (RSI) and the Stochastics Oscillator. They both work on a scale of 0 to 100. With the RSI, readings over 70 are overbought while readings below 30 are oversold. The overbought and oversold values for Stochastics are 80 and 20. Most traders use 14 days or weeks for Stochastics and either 9 or 14 days or weeks for RSI. Oscillator divergences often warn of market turns. These tools work best in a trading market range. Weekly signals can be used as filters on daily signals. Daily signals can be used as filters for intra-day charts.

8.Confluence

Don't ignore volume. Volume is a very important confirming indicator. Volume precedes price. It's important to ensure that heavier volume is taking place in the direction of the prevailing trend. In an uptrend, heavier volume should be seen on up days. Rising volume confirms that new money is supporting the prevailing trend. Declining volume is often a warning that the trend is near completion. A solid price uptrend should always be accompanied by rising volume.

9.Backtest

Backtest! backtest! and backtest some more!

10.Don't Stop Learning

Keep at it. Technical analysis is a skill that improves with experience and study. Always be a student and keep learning.